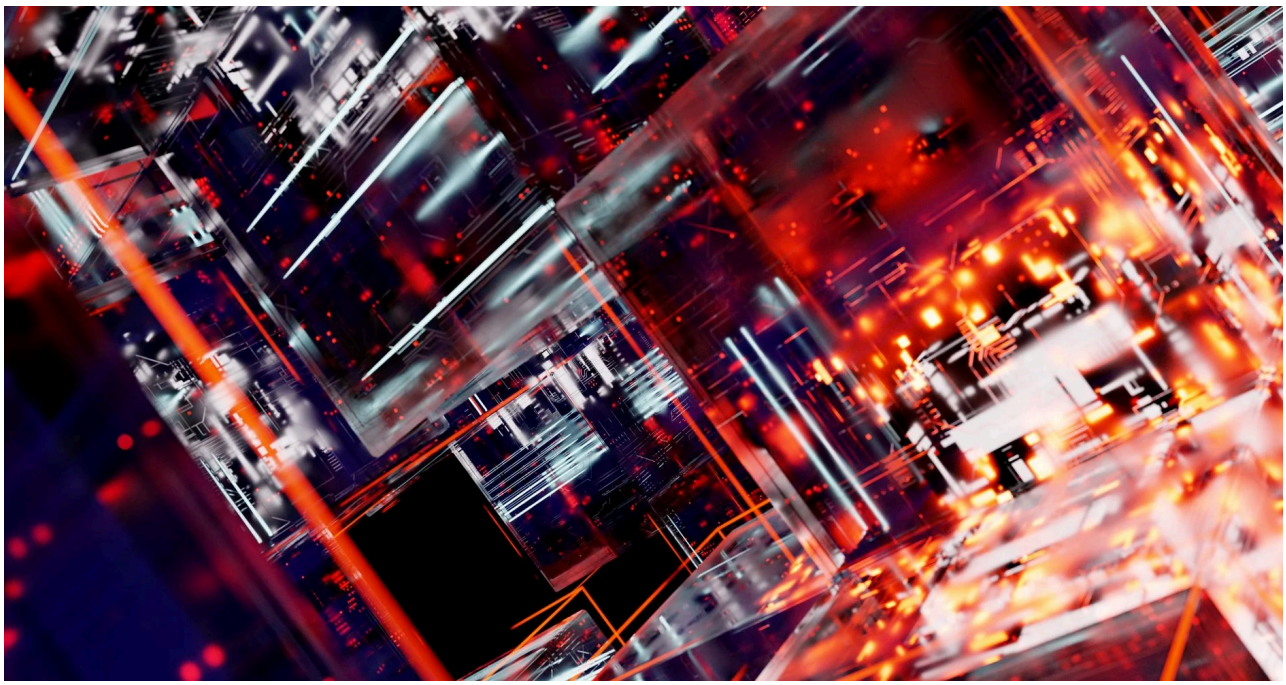


Indonesia AI Market: A Complete 2026 Overview

SEPTEMBER 6, 2026 BY TOM SIMPSON

Indonesia's AI market is having its breakout year. The country's AI sector is projected to grow from roughly $2.4 billion today to $10.88 billion by 2030, at an annual growth rate near 28.7% (Statista, 2025). But the market-sizing reports undersell what happened in the past twelve months: Nvidia-backed Firmus

Technologies announced a 360MW “AI factory” on Batam with up to 170,000 Nvidia GPUs (Bloomberg, June 2026); Coordinating Economic Minister Airlangga Hartarto put the national AI data centre investment pipeline at $15-20 billior (The Jakarta Post, July 2026); and President Prabowo Subianto’s government circulated a draft presidential regulation — the National AI Roadmap 2026-2029 — targeting a 12% GDP uplift worth roughly $366 billion by 2030, with a sovereign AI fund managed by Danantara (Reuters, June 2026).

Adoption is running ahead of infrastructure. Microsoft’s Work Trend Index 2026 classifies 33% of Indonesian workers as advanced “Frontier Professional” AI users — more than double the 16% global average (Microsoft, June 2026). On the ground, GoTo Group and Indosat Ooredoo Hutchison shipped Sahabat-AI v2, a 70-billion-parameter open model that speaks Javanese, Sundanese, Balinese and Bataknese alongside Bahasa Indonesia. This piece covers the money, the players and the gap between ambition and capacity. For which frontier models Indonesians can actually use, see our guide to AI access in Indonesia.

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How big is Indonesia’s AI market in 2026?

Depends what you count. Statista’s market model puts Indonesia’s overall AI market on track for $10.88 billion by 2030, growing at roughly 28.7% a year (Statista, 2025). The generative AI slice specifically was worth $208.2 million in

2025 and is forecast to reach around $1 billion by 2034 at an 18.5% CAGR (IMARC Group, 2025). Neither figure captures the infrastructure layer, which is where the real money is moving: Indonesia's AI-optimised data centre marke alone was valued at roughly $550 million and is projected to hit $1.44 billion by 2030 (Mordor Intelligence, 2025).

The momentum indicator worth watching is application revenue. Indonesia posted 127% year-on-year growth in AI application revenues between H1 2024 and H1 2025 — the fastest in Southeast Asia — and is projected to become the region's largest mid-market AI market by revenue before 2028 (Pertama Partners, 2026). Set against a digital economy expected to exceed $130 billion in 2026 and 65 million MSMEs generating around 60% of GDP, AI software is still a rounding error. That is precisely why every hyperscaler and chipmaker is treating Indonesia as the volume prize in the Asia AI market.

Indonesian workers are among the world's most aggressive AI adopters

The receptiveness story checks out — with caveats. Microsoft's Work Trend Index 2026, published 30 June 2026, found 33% of Indonesian workers qualify as "Frontier Professionals" who strategically integrate AI into their workflows, versus 16% worldwide. Some 72% of Indonesian AI users say the technology lets them produce work that was previously impossible, against a 58% global rate, and 85% worry about falling behind without rapid AI adaptation — twenty points above the global average (Microsoft, 2026).

Business adoption tells a similar story at a lower base. Research by AWS and Strand Partners found that 28% of Indonesian businesses — roughly 18 million firms — had adopted AI by mid-2025, with adoption growing 47% year on year; adopters reported average revenue gains of 16% and anticipated cost savings of 29% (AWS/Strand Partners, August 2025). Yet on organisational depth, Indonesia scores just 27/100 on the SEA mid-market AI Adoption Index — below the

regional average of 31 and half of Singapore's 52 — with 84% of firms citing infrastructure as the main barrier (Pertama Partners, 2026). Enthusiasm is world-class; enterprise maturity is not yet. The same pattern shows up in gaming, where scale runs ahead of monetisation — see our Indonesia gaming market analysis.

The Batam build-out: Firmus, Nvidia and a $20 billion pipeline

The defining deal of 2026 landed in late June. Australian AI infrastructure firm Firmus Technologies, backed by Nvidia and co-developing with Singapore's DayOne, will build a 360MW AI data centre campus on Batam housing up to 170,000 Nvidia GPUs, phased from Q1 2027 through 2028 (Bloomberg, June 2026). Firmus — valued at $5.5 billion after a $505 million April 2026 round led by Coatue — expects $25-30 billion in committed offtake agreements over the facility's first six years (The Next Web, June 2026). The structure is notable: it runs on Nvidia's DSX revenue-sharing programme rather than upfront GPU purchases, effectively importing compute capacity Indonesia could not otherwise finance.

Government numbers frame the wider pipeline. Airlangga Hartarto said in July 2026 that Indonesia has around 580MW of operational data centre capacity, with a further 1.3GW in the pipeline representing $15-20 billion (Rp270-360 trillion) of investment, and confirmed the government is courting Nvidia directly for additional data centre expansion (The Jakarta Post, July 2026). Add Microsoft's $1.7 billion commitment — which delivered Indonesia's first hyperscale cloud region in November 2025 (Microsoft, 2025) — Tencent's $500 million infrastructure pledge, and Nvidia's earlier $200 million AI centre in Surakarta with Indosat, and Indonesia has become the second front of the SEA data centre boom after Malaysia. The constraint is power: the government is pairing the build-out with an accelerated solar programme targeting up to 100GW of capacity long term (Intimedia, July 2026).

What is the government’s AI strategy?

Two presidential regulations are in the works, and neither had been enacted of mid-2026. The first is the National AI Roadmap 2026-2029, a draft presidential regulation reviewed by Reuters in June 2026 that targets a 12% boost to GDP — roughly $366 billion — by 2030, drafted with input from Microsoft, IBM and Meta (Reuters, June 2026). Its most consequential provision is a sovereign AI fund to be managed by Danantara Indonesia, the superholding sovereign wealth fund, alongside tax incentives to repatriate AI researchers. The second is an AI ethics regulation with a risk-classification system modelled loosely on the EU AI Act; both are expected to be enacted by end-2026, pending inter-ministerial coordination (Tech for Good Institute, 2026).

The near-term posture is compliance-by-design and self-assessment rather than hard enforcement — a deliberate signal that Jakarta wants investment first, guardrails second. The state is also becoming an AI customer at scale: planned deployments include eligibility screening for social assistance and logistics for the flagship free meals programme, while a target of 1.65GW of national data centre capacity by end-2026 anchors the infrastructure agenda (Tech for Good Institute, 2026). On skills, the government has struck a workforce deal with Arm to develop 15,000 Indonesian engineers (Jakarta Globe, July 2026). The honest critique, voiced by Indonesian AI academic Derwin Suhartono, is that Indonesia remains an AI consumer rather than producer — long on demand, short on chips, compute and senior talent (Reuters, June 2026).

Who are the key players in Indonesian AI?

Sahabat-AI: the sovereign model bet

Sahabat-AI is Indonesia’s flagship sovereign LLM project, built by GoTo Group and Indosat Ooredoo Hutchison. The v2 flagship is a 70-billion-parameter

Llama-based model launched in June 2025, supporting Bahasa Indonesia plus Javanese, Sundanese, Balinese and Bataknese, with a consumer chat service distributed through sahabat-ai.com and the GoPay app (GoTo Group, 2025). [illegible] earlier 8B and 9B versions logged over 35,000 Hugging Face downloads, and the project pulls in the University of Indonesia, Gadjah Mada University, Bandung Institute of Technology, Kompas and Tempo as ecosystem partners. Distribution through GoPay's enormous installed base is the real strategic asset — a local-language assistant embedded where Indonesians already transact.

Telcos have become Indonesia's de facto AI infrastructure layer

Indosat has moved fastest, repositioning from telco to "AI TechCo": its subsidiary Lintasarta operates the GPU Merdeka sovereign AI cloud on Nvidia hardware (Data Center Dynamics, 2024), it co-launched an AI Centre of Excellence with Cisco and Nvidia in July 2025 (SiliconANGLE, 2025), and in June 2026 it signed a nationwide AI-RAN rollout with Nokia — one of the first at national scale anywhere (RCR Wireless, June 2026). State-owned Telkom Indonesia is participating in the government's data centre expansion push through its NeutraDC arm (The Jakarta Post, July 2026). Meanwhile Chinese vendors — Alibaba Cloud, ByteDance and DeepSeek derivatives — compete hard on price across the archipelago, a dynamic we unpack in our review of Chinese AI models in SEA.

Startups and enterprise demand

The startup layer is thinner than the infrastructure story suggests. Local AI startups such as Kata.ai (conversational AI for customer service) and Feedloop AI cluster around the two workloads where Indonesian enterprises actually pay: customer engagement for e-commerce platforms and automation for the business-process outsourcing sector. [STAT NEEDED: verified 2025-2026 Indonesia AI startup funding total from a primary source such as Tracxn or DealStreetAsia]. The demand signal is unambiguous: with 63% of Indonesian

MSMEs already using digital tools daily and 93% of organisations expressing confidence in their ability to deploy AI (Pertama Partners, 2026), the addressable market for applied AI is arguably the largest in Southeast Asia.

The gap between ambition and capacity is the story to watch

Indonesia in 2026 is running a barbell strategy: world-leading workforce enthusiasm at one end, mega-scale imported infrastructure at the other, and a thin middle of domestic AI production capability. The bull case: a $130 billion digital economy, 127% AI revenue growth and $15-20 billion of committed compute. The bear case: a 27/100 adoption-depth score, unresolved regulation, grid constraints and a model ecosystem that still fine-tunes other people's foundations. Our read: the infrastructure wave is real and largely funded, so the binding constraint through 2027 shifts to power and people. Watch three markers — enactment of the two presidential regulations by end-2026, Danantara's first sovereign AI fund deployments, and whether Firmus hits its Q1 2027 go-live on Batam.

FAQ: Indonesia AI Market 2026

How big is Indonesia's AI market?

Indonesia's overall AI market is projected to reach $10.88 billion by 2030, growing at roughly 28.7% annually (Statista, 2025). The generative AI segment was worth $208.2 million in 2025 (IMARC Group, 2025), while the AI data centre investment pipeline alone stands at $15-20 billion (The Jakarta Post, July 2026).

Who is building AI data centres in Indonesia?

Nvidia-backed Firmus Technologies is building a 360MW, 170,000-GPU campus on Batam with Singapore's DayOne, launching Q1 2027 (Bloomberg, June 2026). Microsoft opened Indonesia's first hyperscale cloud region in November 2025

under its $1.7 billion commitment, and Telkom Indonesia and Indosat operate domestic AI cloud capacity.

What is Sahabat-AI?

Sahabat-AI is Indonesia's sovereign large language model, developed by GoTo Group and Indosat Ooredoo Hutchison. Its v2 flagship is a 70-billion-parameter open model supporting five Indonesian languages, launched in June 2025 and distributed via sahabat-ai.com and the GoPay app (GoTo Group, 2025).

Does Indonesia have an AI law?

Not yet. Two presidential regulations — the National AI Roadmap 2026-2029 and an AI ethics framework with EU-style risk classification — were drafted in 2026 and are expected to be enacted by end of the year (Tech for Good Institute, 2026). Until then, AI is governed by existing data protection and electronic information rules.

How many Indonesian businesses and workers use AI?

About 28% of Indonesian businesses — roughly 18 million firms — had adopted AI by mid-2025, with adoption growing 47% year on year (AWS/Strand Partners, 2025). Among workers, 33% qualify as advanced "Frontier Professional" AI users, double the global average of 16% (Microsoft Work Trend Index, June 2026).

What is Indonesia's sovereign AI fund?

Under the draft National AI Roadmap 2026-2029, Indonesia plans an AI Sovereign Fund managed by Danantara Indonesia, the state superholding wealth fund, paired with incentives to attract AI researchers (Reuters, June 2026). Deployment details had not been announced as of July 2026.

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Tom Simpson is an investor, advisor, and writer working across AI, markets, media, and culture — tracking where value and attention are moving. He is the founder of AK3R, working selectively with founders, investors, and companies on strategy, while investing in and building businesses in digital markets. He writes the Hyperfuture Memo on Substack, on how AI is reshaping markets, media, and culture. He is also the founder and editor of Digital in Asia, an independent publication covering Asia's digital markets since 2013. He splits time between Vietnam, Singapore, and the UK.

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